

You'll see flags appearing in strong uptrends or downtrends (such as that shown in the figure), sometimes near the halfway point of the move. This particular flag goes against the grain in the sense that price retraces the downtrend. This is the most common behavior—a retrace against the prevailing price trend—but it is not unusual for flags to appear horizontal (as short rectangles) or slope downward (following the trend). Since flags can also appear in uptrends, they usually retrace downward, but can be horizontal or tilt upward, too.